commenters stated that it would establish baseline protections for investors, such as increased transparency and standardized reporting.[44] Other commenters expressed frustration with the conflicts of interest in the private funds industry[45] and supported prohibitions on certain unfair practices.[46] One commenter stated that the rules, if adopted, "would implement a variety of essential improvements in the regulation of the private funds markets, making this increasingly important financial sector substantially more fair and transparent."[47] Another commenter stated that the proposed rules are essential to protect the right of investors to access information critical to making informed investment decisions, especially because private market investments will likely play an increasingly growing role in the asset allocations and funding targets of institutional investors.[48] In contrast, other commenters opposed the proposal and expressed concern that it would negatively impact the industry by stifling capital formation and reducing competition.[49] Certain commenters asserted that the proposed requirements would overburden advisers (especially smaller advisers) with compliance costs, which may ultimately be passed on

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44 *See, e.g.*, Comment Letter of InvestX (Mar. 18, 2022) ("InvestX Comment Letter"); Comment Letter of American Association for Justice (Apr. 25, 2022) ("American Association for Justice Comment Letter"); OPERS Comment Letter.

45 *See, e.g.*, Comment Letter of Public Citizen (Apr. 15, 2022) ("Public Citizen Comment Letter"); Comment Letter of the Comptroller of the State of New York (Apr. 25, 2022) ("NY State Comptroller Comment Letter"); Comment Letter of Comptroller of the City of New York (Apr. 21, 2022) ("NYC Comptroller Comment Letter").

46 *See, e.g.*, Comment Letter of General Treasurer of Rhode Island, For the Long Term and Illinois State Treasure, For the Long Term (June 13, 2022) ("For the Long Term Comment Letter"); Comment Letter of the Regulatory Fundamentals Group (Apr. 25, 2022) ("RFG Comment Letter II"); United for Respect Comment Letter I.

47 *See* Better Markets Comment Letter.

48 *See* Comment Letter of District of Columbia Retirement Board (Apr. 22, 2022) ("DC Retirement Board Comment Letter").

49 *See, e.g.*, Comment Letter of the Private Investment Funds Forum (Apr. 25, 2022) ("PIFF Comment Letter"); Comment Letter of the Alternative Investment Management Association Limited and the Alternative Credit Council (Apr. 25, 2022) ("AIMA/ACC Comment Letter"); Comment Letter of the Securities Industry and Financial Markets Association Asset Management Group (Apr. 25, 2022) ("SIFMA-AMG Comment Letter I").

to investors, directly or indirectly.[50] These and other comments are discussed more fully below. The final rules include modifications in response to concerns raised and provide additional flexibility and tailoring to the rules as proposed, while preserving the needed investor protections.

The Quarterly Statement Rule. The Commission proposed a rule to require SEC-registered advisers to private funds to provide investors with periodic information about private fund fees, expenses, and performance.[51] The Commission is adopting the rule with changes in response to comments:[52]

- Advisers to illiquid funds are required to calculate performance information with and without the impact of subscription facilities, rather than only without;
- We have refined the definition of illiquid fund to be based primarily on withdrawal and redemption capability;
- Instead of requiring advisers to present liquid fund performance since inception, we are only requiring a 10-year lookback; and
- We are allowing additional time for delivery of fourth quarter statements and additional time for delivery of all statements for funds of funds.

As discussed more fully below, we are adopting the quarterly statement rule because we see this lack of transparency in many areas, including investment advisers' disclosure regarding

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50 *See, e.g.*, Comment Letter of Lockstep Ventures (Apr. 26, 2022) ("Lockstep Ventures Comment Letter"); Comment Letter of Thin Line Capital (Apr. 21, 2022) ("Thin Line Capital Comment Letter"); Comment Letter of Blended Impact (Apr. 24, 2022) ("Blended Impact Comment Letter").

51 *See infra* section II.B for a discussion of the comments on this aspect of the rule.

52 The final quarterly statement, audit, adviser-led secondaries, restricted activities, and preferential treatment rules do not apply to investment advisers with respect to securitized asset funds they advise. *See infra* section II.A (Scope of Advisers Subject to the Final Private Fund Adviser Rules).

private fund fees, expenses, and performance. For example, some private fund investors do not have sufficient information regarding private fund fees and expenses because those fees and expenses have varied labels across private funds and are subject to complicated calculation methodologies.[53] Increased transparency on fees can also help address conflicts of interest concerns. For example, some private fund advisers and their related persons charge a number of fees and expenses to the fund's portfolio companies, and it may be difficult for investors to track fee streams that flow to the adviser or its related persons and reduce the return on their investment.

Investors will also benefit from increased transparency into how private fund performance is calculated. Currently, private fund advisers use different metrics and specifications for calculating performance, which makes it difficult for investors to compare data across funds and advisers, even when advisers disclose the assumptions they used. More standardized requirements for performance metrics will allow private fund investors to compare more effectively the returns of similar fund strategies over different market environments and over time. In addition, they would improve investors' ability to interpret complex performance reporting and assess the relationship between the fees paid in connection with an investment and the return on that investment as they monitor their investment and consider potential future investments.

The Audit Rule. The Commission is adopting the requirement that an SEC-registered adviser cause each private fund that it advises to undergo an annual audit; however, in a change from the proposal, we are requiring the audit to comply with the audit provision under 17 CFR

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[53] *See* Proposing Release, *supra* footnote 3, at section I.

275.206(4)-2 of the Advisers Act ("rule 206(4)-2" "custody rule").[54] To address the valuation concerns described above and more fully below,[55] we are requiring SEC-registered advisers to cause the private funds they manage to obtain an annual audit. By addressing the concerns that arise in the valuation process, the rule will help prevent fraud and deception by the adviser.

The Adviser-led Secondaries Rule. The final rule will require SEC-registered advisers conducting an adviser-led secondary transaction to satisfy certain requirements; however, in a change from the proposal, advisers may obtain a fairness opinion *or* a valuation opinion under the final rule.[56] SEC-registered advisers conducting an adviser-led secondary transaction must also prepare and distribute a written summary of any material business relationships between the adviser or its related persons and the independent opinion provider. By requiring that investors receive a third-party opinion and a written summary of any material business relationships before deciding whether to participate in an adviser-led secondary transaction, the final rule will help prevent investors from being defrauded, manipulated, and deceived when the adviser is on both sides of the transaction.

The Restricted Activities Rule. The final rule will address concerns about five activities with respect to private fund advisers.[57] In a change from the proposal, while the restricted activities rule (referred to as the prohibited activities rule in the proposal) prohibits advisers from engaging in certain activity, the final rule includes certain disclosure-, and in some cases, consent-based exceptions. As a result, advisers generally are not flatly prohibited from engaging

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54 *See infra* section II.C for a discussion of the comments on this part of the rule.

55 *See infra* section II.C.

56 *See infra* section II.C.8 for a discussion of the comments on this part of the rule.

57 *See infra* sections II.E and II.F for a discussion of the comments on this part of the rule.

in the following activities,[58] so long as they provide appropriate specified disclosure and, in some cases, obtain investor consent:

- Charging or allocating to the private fund fees or expenses associated with an investigation of the adviser or its related persons by any governmental or regulatory authority; however, regardless of any disclosure or consent, an adviser may not charge or allocate fees and expenses related to an investigation that results or has resulted in a court or governmental authority imposing a sanction for violating the Investment Advisers Act of 1940 or the rules promulgated thereunder;
- Charging or allocating to the private fund any regulatory or compliance fees or expenses, or fees or expenses associated with an examination, of the adviser or its related persons;
- Reducing the amount of an adviser clawback by actual, potential, or hypothetical taxes applicable to the adviser, its related persons, or their respective owners or interest holders;
- Charging or allocating fees and expenses related to a portfolio investment (or potential portfolio investment) on a non-pro rata basis when multiple private funds and other clients advised by the adviser or its related persons have invested (or propose to invest) in the same portfolio investment, where such non-pro rata allocation is fair and equitable; and

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58 As discussed in greater detail below, this does not change the applicability of any other disclosure and consent obligations, whether under law, rule, regulation, contract, or otherwise. For example, the adviser, as a fiduciary, is obligated to act in the fund's best interest and to make full and fair disclosure of all conflicts and material facts which might incline an investment adviser – consciously or unconsciously – to render advice which is not disinterested such that a client can provide informed consent to the conflict. *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5.

- Borrowing money, securities, or other private fund assets, or receiving a loan or an extension of credit, from a private fund client.

In a change from the proposal, we are not adopting the prohibition on fees for unperformed services because we believe this activity generally already runs contrary to an adviser's obligations to its clients under the Federal fiduciary duty. We are also not adopting the indemnification prohibition that we proposed because much of the activity that it would have prohibited is already prohibited by the Federal fiduciary duty and antifraud provisions.

The Preferential Treatment Rule. The Commission is adopting a preferential treatment rule that prohibits advisers from providing preferential treatment with respect to redemption rights and portfolio holdings or exposure information, in each instance, that the adviser reasonably expects would have a material, negative effect on other investors, and requires disclosure of all other types of preferential treatment.[59] In a change from the proposal, the final rule includes certain exceptions from the redemptions prohibition (*i.e.*, if the redemption right is required by law or offered to all other existing investors) and information prohibition (*i.e.*, if the information is offered to all other existing investors) and limits the proposed requirement to provide advance written notice of preferential treatment to only apply to material economic terms (as opposed to all investment terms). Like the proposal, however, the final rule requires advisers to provide comprehensive post-investment disclosure.

We are also adopting the preferential treatment rule, in part, because all investors will benefit from increased transparency regarding the preferred terms granted to certain investors in the same private fund (*e.g.*, seed investors, strategic investors, those with large commitments,

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[59] *See infra* section II.G for a discussion of the comments on this part of the rule.

and employees, friends, and family). In some cases, these terms materially disadvantage other investors in the private fund or otherwise impact the terms applicable to their investment.[60] This new rule will help investors better understand marketplace dynamics and potentially improve efficiency for future investments, for example, by expediting the process for reviewing and negotiating adviser's fees and expenses.

The Annual Review Rule. As proposed, the final rule will amend the annual review component of Advisers Act rule 206(4)-7 ("compliance rule") to require all SEC-registered advisers to document their annual review in writing, and we are adopting this rule as proposed.[61] We are adopting this requirement for two key reasons. First, written documentation of the annual review may help advisers better assess whether they have considered any compliance matters that arose during the previous year, any changes in the adviser's or an affiliate's business activities during the year, and any changes to the Advisers Act or other rules and regulations that may suggest a need to revise an adviser's policies and procedures. Second, the availability of written documentation of the annual review should allow the Commission and the Commission staff to determine if the adviser is regularly reviewing the adequacy of the adviser's policies and procedures.

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60 *See, e.g., Securities and Exchange Commission v. Philip A. Falcone, Harbinger Capital Partners Offshore Manager, L.L.C. and Harbinger Capital Partners Special Situations GP, L.L.C.,* Civil Action No. 12 Civ. 5027 (PAC) (S.D.N.Y.) and *Securities and Exchange Commission v. and* (sic) *Harbinger Capital Partners LLC, Philip A. Falcone and Peter A. Jenson, Civil Action No.* 12 Civ. 5028 (PAC) (S.D.N.Y.), Civil Action No. 12 Civ. 5027 (PAC) (S.D.N.Y.), U.S. Securities and Exchange Commission Litigation Release No. 22831A (Oct. 2, 2013) ("Harbinger Capital") (private fund adviser granted favorable redemption and liquidity terms to certain large investors in a private fund without disclosing these arrangements to the fund's board of directors and the other fund investors). *See also* 17 CFR 275.206(4)-8 (rule 206(4)-8 under the Advisers Act).

61 *See infra* section III for a discussion of the comments on this part of the rule.

The Recordkeeping Rule. As proposed, the final rule will amend the Advisers Act recordkeeping rule to require advisers who are registered or required to be registered to retain books and records related to the quarterly statement rule, the audit rule, the adviser-led secondaries rule, and the preferential treatment rule.[62] In a change from the proposal, we are also amending the Advisers Act recordkeeping rule to require advisers who are registered or required to be registered to retain books and records related to the restricted activities rule.[63] We are adopting these requirements to enhance advisers' internal compliance efforts and to facilitate the Commission's enforcement and examination capabilities by improving our staff's ability to assess an adviser's compliance with the final rule.

C. The Commission Has Authority to Adopt the Rules

The Commission regulates investment advisers under the Advisers Act.[64] For the reasons we discussed in the Proposing Release and throughout this release, our adoption of these private fund adviser rules is a proper exercise of our rulemaking authority under the Advisers Act to prevent fraudulent, deceptive, and manipulative conduct, facilitate the provision of simple and clear disclosures to investors, and prohibit or restrict certain sales practices, conflicts of interest, and compensation schemes.[65]

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62 *See infra* sections II.B.6, II.C.8, II.D.5, and II.G.6 for discussions of the comments on this part of the rule.

63 The recordkeeping requirements associated with the restricted activities rule align with the modifications from the prohibited activities rule in the proposal. See *infra* section II.E for a discussion of the comments on this part of the rule.

64 Under Federal law, an investment adviser is a fiduciary, and this fiduciary duty is made enforceable by the antifraud provisions of the Advisers Act. *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5.

65 *See* Advisers Act, sections 206 and 211(h).

We have authority under section 206(4) to adopt rules "reasonably designed to prevent, such acts, practices, and courses of business as are fraudulent, deceptive or manipulative."[66] Among other things, section 206(4) permits the Commission to adopt prophylactic rules against conduct that is not itself necessarily fraudulent.[67] The Dodd-Frank Act expanded the Commission's oversight responsibility for private fund advisers.[68] It also added section 211(h) of the Advisers Act, which, among other things, directs the Commission to "facilitate the provision of simple and clear disclosures to investors regarding the terms of their relationships with…investment advisers" and "examine and, where appropriate, promulgate rules prohibiting or restricting certain sales practices, conflicts of interest, and compensation schemes for brokers,

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66 15 U.S.C. 80b-6(4).

67 S. REP. NO. 1760, 86th Cong., 2d Sess. 4, 8 (1960). The Commission has used this authority to adopt several rules addressing abusive marketing practices, political contributions by investment advisers, proxy voting, compliance procedures and practices, deterring fraud with respect to pooled investment vehicles, and custodial arrangements including an audit provision. Rule 206(4)-1; 275.206(4)-2; 275.206(4)-6; 275.206(4)-7; and 275.206(4)8. Section 206(4) was added to the Advisers Act in Pub. L. No. 86-750, 74 Stat. 885, at sec. 9 (1960). *See* H.R. REP. NO. 2197, 86th Cong., 2d Sess., at 7-8 (1960) ("Because of the general language of section 206 and the absence of express rulemaking power in that section, there has always been a question as to the scope of the fraudulent and deceptive activities which are prohibited and the extent to which the Commission is limited in this area by common law concepts of fraud and deceit . . . [Section 206(4)] would empower the Commission, by rules and regulations to define, and prescribe means reasonably designed to prevent, acts, practices, and courses of business which are fraudulent, deceptive, or manipulative. This is comparable to Section 15(c)(2) of the Securities Exchange Act [15 U.S.C. 78o(c)(2)] which applies to brokers and dealers."). *See also* S. REP. NO. 1760, 86th Cong., 2d Sess., at 8 (1960) ("This [section 206(4) language] is almost the identical wording of section 15(c)(2) of the Securities Exchange Act of 1934 in regard to brokers and dealers."). The Supreme Court, in *United States v. O'Hagan*, interpreted nearly identical language in section 14(e) of the Securities Exchange Act [15 U.S.C. 78n(e)] as providing the Commission with authority to adopt rules that are "definitional and prophylactic" and that may prohibit acts that are "not themselves fraudulent . . . if the prohibition is 'reasonably designed to prevent . . . acts and practices [that] are fraudulent.'" *United States v. O'Hagan*, 521 U.S. 642, 667, 673 (1997). The wording of the rulemaking authority in section 206(4) remains substantially similar to that of section 14(e) and section 15(c)(2) of the Securities Exchange Act. *See also* Prohibition of Fraud by Advisers to Certain Pooled Investment Vehicles, Investment Advisers Act Release No. 2628 (Aug. 3, 2007) [72 FR 44756 (Aug. 9, 2007)] ("Prohibition of Fraud Adopting Release") (stating, in connection with the suggestion by commenters that section 206(4) provides us authority only to adopt prophylactic rules that explicitly identify conduct that would be fraudulent under a particular rule, "We believe our authority is broader. We do not believe that the commenters' suggested approach would be consistent with the purposes of the Advisers Act or the protection of investors.").

68 *See* the discussion of the Dodd-Frank Act above in the introductory portion of section I.

dealers, and investment advisers that the Commission deems contrary to the public interest and the protection of investors."[69] As applied here, a sales practice includes any conduct by an investment adviser, or on its behalf, to induce or solicit a person to invest, or continue to invest, in a private fund client advised by the adviser or its related persons. For instance, an adviser offering preferential terms to certain private fund investors to attract, or retain, their investment in the private fund is a "sales practice." As the Commission has previously stated, a conflict of interest means an interest that might incline an adviser, consciously or unconsciously, to render advice that is not disinterested.[70] Conflicts of interest can arise when an adviser's own interests conflict with, or are otherwise different than, its client's interests or when the interests of different clients conflict.[71] For instance, an adviser has a conflict of interest in an adviser-led secondary transaction because the adviser and its related persons typically are involved on both sides of the transaction. As applied here, a compensation scheme includes any arrangement through which an investment adviser is compensated—directly or indirectly—for providing services to its clients (*e.g.*, performance-based compensation). An example of a problematic compensation scheme is when an adviser opportunistically values a private fund to increase the adviser's compensation.

Sections 206(4) and 211(h) of the Advisers Act are the principal authority for all of the five new rules to regulate the activities of investment advisers to private funds. The new rules are within the Commission's legal authority under those sections of the Advisers Act as a means reasonably designed to prevent fraudulent or deceptive acts and practices, facilitate simple and

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69 Dodd-Frank Act, section 913(g).

70 *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at 23.

71 *See id.*, at 26.